Bristlemoon Global Fund

BRISTLEMOON CAPITAL

Quarterly Report

December 2025

Unit Price: $1.119

The Bristlemoon Global Fund returned -6.2 percent for the December 2025 quarter, with a 0.3 percent return for the month of December 2025, net of fees. For the eighteen-month period since inception, the Fund has produced a cumulative 11.9 percent return, net of fees.

Key performance contributors in the month of December included AppLovin, Synopsys, and PAR Technology Corporation. Notable performance detractors over the same period included Timee, Fair Isaac Corporation, and Uber Technologies. Notable positive contributions from the Fund's short book in December include National Vision Holdings, Nike, and Starbucks.

While the performance over the last 12 months has unfortunately been soft, we are currently seeing exciting investment opportunities emerge, particularly amongst high quality businesses that we have been waiting to own at the right price. In this quarterly letter we briefly discuss some of the new positions in the Fund – **Adobe, Baltic Classifieds Group, and Timee** – as well as give a more detailed investment thesis around our recently initiated position in **Floor & Decor Holdings**.

We believe the Fund is well-positioned and we see significant latent value in the stocks held. To prospective Australian wholesale investors: if you have followed our research and share our long-term philosophy, we welcome the opportunity to partner with you. **Please contact info@bristlemoon.com to learn more about investing in the Bristlemoon Global Fund**.

Performance (%) December 2025	
Net return	0.3

Portfolio Exposure (%) (as at 31 December 2025)	% of NAV
Long	102.5
Short	(16.8)
Net exposure	85.8
Number of long positions*	19
Number of short positions	14

* Excludes derivative positions.

Top 5 Long Positions (as at 31 December 2025)	(Alphabetical order)
AppLovin Corporation	
Fair Isaac Corporation	
Floor & Decor Holdings	
Hemnet Group AB	
PAR Technology Corporation	

Fund Returns (Net)

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sept	Oct	Nov	Dec
2024							(1.1)	0.6	7.4	6.8	0.2	3.1
2025	5.1	(1.5)	(6.5)	(0.6)	1.7	(1.4)	(2.2)	1.9	5.6	(3.1)	(3.5)	0.3

Reflections on 2025

Having closed out 2025, it is worth reflecting on both the year past and what we see for the year ahead. In many respects, 2025 felt like an amplification of recent market dynamics: the perceived AI winners rallied higher, while ostensibly "cheap" stocks proved that they could get even cheaper if they were perceived to be AI losers.

The Fund has benefitted from the strong performance of a number of AI winners. For example, AppLovin has been applying machine learning to improve its ad algorithms, and to great effect. The company's Software Platform revenues and adjusted EBITDA on a last twelve month basis are up 72% and 89% year-over-year, respectively. In the 16 months since we first bought AppLovin, the stock has increased in value by more than 10x. We mapped out our bullish AppLovin thesis in our September 2024 quarterly letter before the market appreciated the company's ability to sustain its explosive growth.

In our September 2025 quarterly letter we explained why we had taken positions in Alphabet and ASML. We highlighted how ASML is a monopoly in the semiconductor industry during an AI boom. Our writeup outlined the bear case arguments and explained our reasoning for why they were misguided. Other investors began to agree with our investment thesis, sending the stock from around €600 per share to north of €900 per share in the span of a quarter. Alphabet, where investor sentiment around AI had become unduly pessimistic, has also since delivered solid performance and contributed meaningfully to the Fund's returns.

In all of these examples of winning investments, the market quickly came around to our view, leading to a sharp re-rating in the stock price. Ideally, we are only aggressively buying and sizing up stocks just before they inflect, yet it is unreasonable to expect to perfectly time all our investments. While there was skill in identifying a gap between the financial performance we thought these businesses would achieve and the expectations of other investors, it was mostly lucky that the market began to agree with us imminently after we made those investments.

While we do deep work in forming our high conviction views on the risk/reward of investments, unfortunately that conviction does not extend to the *timing* of when the market will agree with us for any given stock. Sometimes this convergence of opinions will already be underway when we begin purchasing the stock, which is the ideal scenario. However, the market often remains indifferent for extended periods, or worse still, allows specious narratives to drive the share price lower.

We do not profess to have a crystal ball regarding market sentiment. It is a variable we have misjudged many times in the past. Instead, we remain comfortable committing capital to stocks where the discrepancy between price and value is wide, having the patience to wait for the market to revise its view while the business compounds its intrinsic value over time.

Unfortunately, the strong contribution to the Fund from the abovementioned stocks has been offset by very weak performance in two of the Fund's largest positions: Hemnet Group and PAR Technology Corporation. Both positions have more than halved in value peak to trough – a disappointing outcome.

However, to the extent that the declining share prices do not reflect a genuine impairment in the value of the business (and to be clear, we believe that no such impairment has occurred), then the return potential from these stocks effectively becomes a coiled spring. Rather than receiving those investment returns today, they have merely been shifted to the future, and could be realised in a rapid fashion to the extent that other investors begin to appreciate that the bear arguments are unfounded.

Why we still have conviction in Hemnet and PAR

We disagree with the bearish narratives that have pushed these stocks lower and have taken the opportunity to add to the Fund's holdings in these great businesses. Despite the weak share price performance, we are optimistic on the potential of these two stocks to deliver attractive returns over the next few years.

We wrote a detailed update on Hemnet here, explaining why we believe the stock is significantly undervalued and highlighted potential catalysts that could lead to a re-rating in the stock. As an investor in the Bristlemoon Global Fund, you automatically get full access to our investment missives. If you are unable to access this research, please contact us and we will arrange for you to receive access.

We have also written extensively about PAR, and we believe that the future for the business continues to brighten. Despite this, the stock's performance during the quarter was weak, falling by -8%. PAR remains a quality business, but it is temporarily out of favour. It currently sits in a blind spot for many investors: it is a small cap, unprofitable software company working through the overhang of a prior guidance reset (a topic we addressed in our September 2025 quarterly letter as being non-structural).

The investment case for PAR has strengthened materially in recent months, driven by what we view as a watershed moment for the restaurant technology industry with PAR working towards signing a contract with a mega tier-1 which we believe to be McDonald's.

That fact that McDonald's, one of the most tech forward restaurants that has supported its own in-house point-of-sale (POS) software for decades, is potentially exploring a partnership with PAR speaks volumes. It suggests that even the largest, best-capitalised players are realising that the mission-critical layer of their tech stack – that is, the POS software that processes 100% of their revenue – is too complex and expensive to maintain internally, and is more effectively managed by a best-of-breed third party vendor like PAR.

This dynamic directly counters the bear case that generative AI will allow companies to simply "vibe code" their own software solutions cheaply. We believe the opposite is true: when the POS software layer costs a mere 15-20 basis points of a restaurant's average unit volumes but POS downtime results in operational paralysis, the asymmetry of risk demands enterprise-grade stability and support, not AI-produced improvisational code. McDonald's potential capitulation on "building it themselves" would be the ultimate validation of PAR's customer value proposition.

Rather than being displaced by AI, we view PAR as a beneficiary. The fragmented nature of legacy restaurant IT – where the POS, loyalty program, and back-of-house systems sit in siloed databases – makes deploying AI challenging for most chains. PAR's competitive advantage is its unified platform strategy, which stitches these modules together into a single data lake.

This clean data structure is the prerequisite for functional AI. A prime example is PAR's Coach AI, which effectively acts as a digital district manager. Because the system sees the complete picture via PAR's unified platform – pulling live data from POS, inventory, and labour scheduling – it can provide automated, natural-language recommendations to restaurant personnel. We foresee a future where Coach AI can autonomously tell a manager "add two staff for the dinner rush" based on local weather patterns, or "prepare 50 more patties now" based on live consumption rates. We believe that this is only the beginning of an AI-rich feature set that should accelerate PAR's advantage over competitors.

On the Q3 2025 earnings call, CEO Savneet Singh commented that for that major restaurant brand (which we believe to be McDonald's), they had progressed from the RFP phase to the development phase. Around one month later at the UBS Global Technology and AI Conference, Savneet sounded even more positive on the potential to convert some of the mega tier 1 deals the company has been pursuing: "we're getting to the red zone of two of these for sure, and we feel more encouraged now than we did two weeks ago, three weeks ago."

We remain optimistic that PAR is on the cusp of announcing a definitive win of one of these tier-1 restaurants that would re-rate the stock, transitioning it from a small-cap software play to the anointed operating system for global enterprise restaurants. However, even without such a mega tier-1 win, we believe that there is a sufficient pipeline of restaurant brands that can reaccelerate the company's organic ARR growth rate, and the business is priced at a level that does not require the McDonald's win for us to do well.

This was a year where narratives at times overwhelmed fundamentals, with a bifurcation of fortunes depending on whether a stock's narrative was judged to be on the right side of the AI trade. Nevertheless, we are excited about the current portfolio positioning as we have found a number of stocks that meet our investment criteria, and many more that we are currently analysing. We are seeing an opportunity rich environment and are the most excited about the Bristlemoon portfolio that we have been in a while. Below we detail a few of the stocks that we have added to the Fund – Adobe, Baltic Classifieds Group, Timee, and an extended write up on Floor & Decor Holdings.

Adobe (ADBE) – an AI loser that isn't losing

We utilised the recent market pessimism around AI losers to initiate a position in Adobe (ADBE) at 15x earnings, a valuation low that hasn't been reached in over 13 years. While the bearish consensus view is that generative AI is an existential threat that will lead to reduced usage of Adobe's creative suite, the business continues to print very healthy financial results, growing revenue at double digit rates and earnings at a mid-teens percentage rate. We see a world where Adobe is a beneficiary of the Jevons paradox: as AI collapses the cost of generating raw content, the demand for digital content will explode, exponentially increasing the demand for the tools required to edit, assemble, and manage that output.

Our thesis is that while AI may commoditize *creation*, it entrenches the value of the *workflow*. Adobe can be thought of as the orchestrator of professional design workflows; whether an asset is born from a camera or a prompt, it almost invariably ends up in Photoshop or Premiere for final production. We are already seeing early evidence of this, with AI-integrated features driving higher retention and usage rather than displacement.

The bear case assumes that as AI models improve, users will simply prompt their way to a finished product, bypassing the need for editing software entirely. We view this as a fundamental misunderstanding of the professional workflow and how generative AI works.

We believe the future workflow is hybrid: AI will generate the raw materials, but Adobe will remain the essential studio where those materials are assembled, layered, and refined into commercial-grade assets. By embedding AI – both first party and partner models – inside its software, Adobe captures the value of both the creation and the composition. In our view, paying a value multiple for a dominant software business with an AI-driven volume tailwind represents an attractive risk-reward profile.

Baltic Classifieds Group – a beaten down owner of monopoly classifieds

We have taken advantage of the recent sector-wide sell-off in online classifieds businesses to build a position in Baltic Classifieds Group (BCG), the dominant online marketplace operator in Lithuania, Estonia, and Latvia. The stock has halved since July, creating a rare opportunity to acquire a high-quality owner of monopoly assets at ~17x forward earnings, with a clear path to 15-20% per annum earnings growth going forward.

BCG owns the dominant portals for automotive (Autoplius, Auto24), real estate (Aruodas, KV.ee), and jobs (CVbankas), enjoying the powerful network effects where buyers are locked in because that's where the sellers are, and vice versa. We view the market's fear of AI disintermediation of online classifieds businesses as misguided: while LLMs may change how users search, they cannot replicate the unique, localised inventory of physical assets (homes, cars, local jobs) that resides exclusively on BCG's platforms.

As an encouraging signal, two BCG Directors purchased the company's stock in the open market during December 2025. Trevor Mather (the Chairman of BCG and former CEO of Autotrader UK) purchased £465,000 worth of BCG stock while Ed Williams (Independent Non-Executive Director) made multiple purchases, acquiring almost £800,000 worth of BCG stock. It's reassuring knowing that we have been buying BCG stock alongside company insiders who understand the business most deeply!

Timee – the Japanese spot work monopolist

We have established a position in Timee, the monopoly operator of Japan's "spot work" (*sukima baito)* labour market, at a valuation of 21x earnings – an entry price we view as exceptional given we believe the company has runway for 20% annualised revenue growth and 25-30% per annum earnings growth over the next five years. Timee addresses Japan's critical labour shortage by providing a marketplace that matches workers with immediate, short-term shifts.

Our conviction was significantly bolstered following the capitulation of Timee's most aggressive competitor: Mercari Hallo. In October 2025, Mercari announced that it would withdraw from the Japanese spot work market. This is after an unsuccessful attempt to win meaningful market share over an 18 month period, despite Mercari allowing employers to use its service for free (i.e., at a 0% take rate) compared to Timee's 30% take rate.

This retreat by a key competitor validates our view that Timee's network is incredibly difficult to replicate. Scaling a spot work marketplace requires maintaining a delicate, hyper-local equilibrium between supply and demand. If the platform tilts too heavily towards workers, job fill rates remain high

but workers leave due to a lack of available shifts. Conversely, if job postings outstrip worker density, employers experience low job fill rates and churn off the platform.

This created a "chicken-and-egg" barrier that shielded Timee from Mercari's incursion. Despite Mercari's capital, they could not subsidise their way to the necessary matching density required to make the marketplace viable for both sides simultaneously.

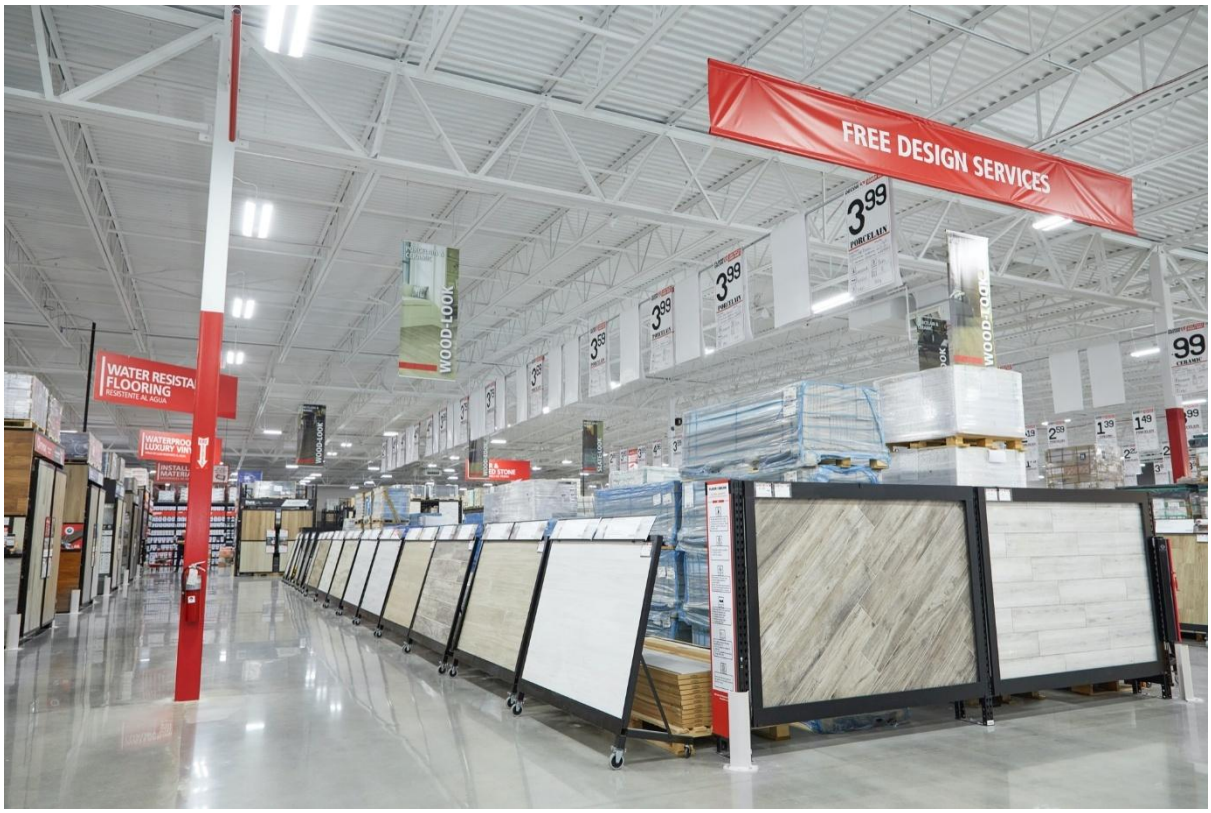
George recently met with Timee Founder and CEO Ryo Ogawa in Tokyo and came away highly impressed by his strategic vision and disciplined execution in cementing Timee as the operating system for Japan's flexible labour force.

Floor & Decor Holdings (FND) – a stock that has been on our shopping list

A category killer business model

Founded in 2000, Floor & Decor (FND) is a retailer of hard surface flooring products such as wood, tiles, luxury vinyl plank, and related accessories. While this might not sound very exciting, the company has grown its comparable store sales at almost 11% per annum on average over the last 14 years, with revenue and adjusted EBITDA growing at 24% and 25% per annum, respectively, between 2011 and 2024.

It is not so much *what* FND sells, it is the manner in which it sells its mostly private label flooring products that lies at the core of what gives the company an advantage over competitors. FND is selling its merchandise in 75,000 square foot warehouse stores, compared to a mere 3,000 to 5,000 square feet of space that big box home improvement chains such as Home Depot and Lowes dedicate to selling hard surface flooring products.



Source: Floor Covering Weekly. Inside a Floor & Decor store.

By operating large-format warehouse stores, Floor & Decor can both merchandise far more flooring stock keeping units (SKUs) than peers, and, critically, hold those SKUs in job-ready quantities. FND carries ~2,350+ flooring SKUs versus ~630-680 at competing home improvement centres, with ~1,730 flooring SKUs actually in stock – around 4x the in-stock depth of big box competitors.

Source: FND 2022 Investor Day

This inventory depth matters most to Pro customers – that is, professional flooring installers working to fixed timelines. Pros need to purchase the entire job quantity upfront, including overage, and from a single dye-lot to ensure visual consistency. When a flooring SKU is either partially available or out-of-stock it is operationally disruptive, forcing a special order with a one-to-two week wait time that leads to labour downtime, the postponement of job completion, and it delays payment for the Pro.

By consistently stocking job-ready quantities of flooring SKUs, Floor & Decor enables Pros to complete jobs faster, keep crews productive, and accelerate cash collection. It's no wonder that Floor & Decor has been a hit with Pro customers.

Sales to Pro customers represent half of FND's sales, up from 40% in early 2022. Floor & Decor is not so much a store as it is a reliable supply partner for the Pro customer. This over-indexation to the Pro is desirable, given that these customers transact at a significantly higher frequency than do-it-yourself (DIY) customers, reducing customer acquisition costs per transaction and underpinning robust customer unit economics.

Pro customers' affinity for purchasing from FND has also been aided by the company's loyalty program. In early 2022, it was disclosed that 59% of active Pro customers were enrolled in Floor & Decor's PRO Premier Rewards Program, and these Pros spend 3x more than Pros who aren't enrolled in the loyalty program. FND's loyalty program deepens engagement, incentivises repeat purchasing, and improves Pro customer retention.

It is worth noting that FND follows an Everyday Low Price (EDLP) pricing strategy whereby, as the name suggests, the company offers consistently low prices year-round. This is in contrast to the sporadic, temporary promotions under a "high-low" pricing approach. There are a number of benefits that come from FND following an EDLP strategy:

- The stable prices under an EDLP regime builds trust with customers; these customers know that they're getting a fair price from Floor & Decor without needing to haggle or wait for promotions.

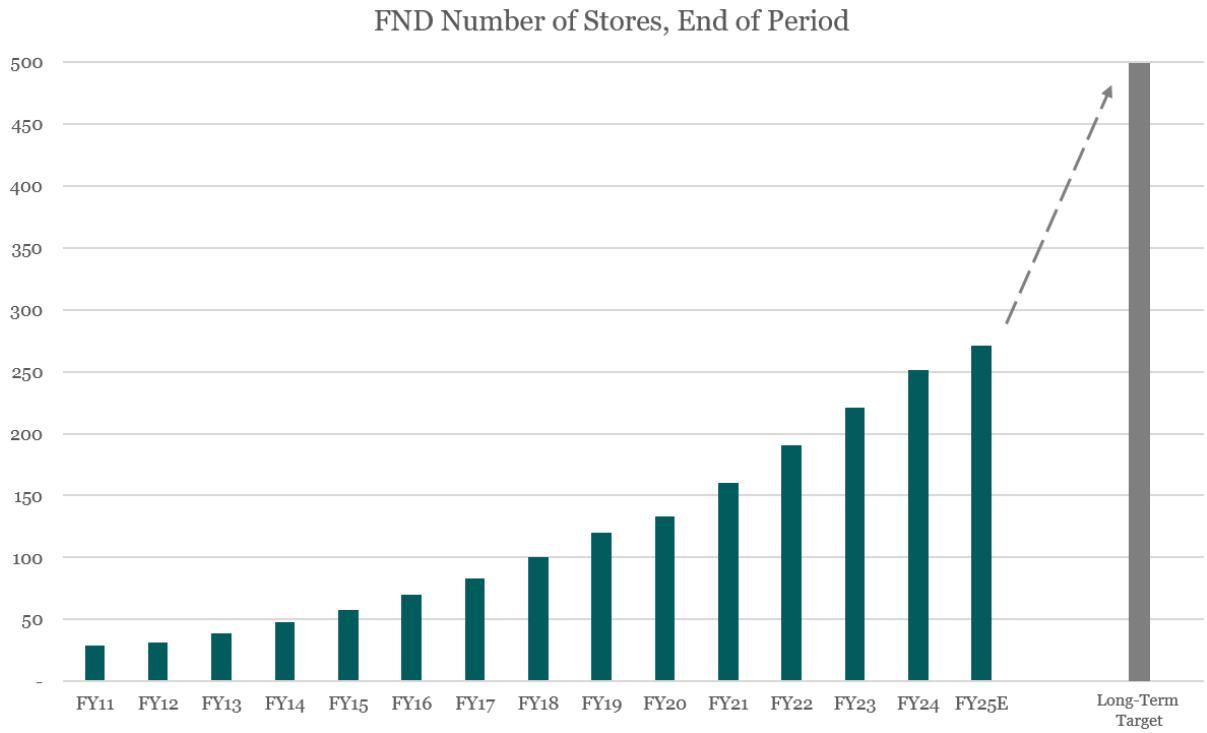
- EDLP helps drive a self-reinforcing flywheel: consistently low prices lead to higher sales volumes, with these higher sales volumes enabling a further reduction in per unit costs via improved purchasing leverage with suppliers and fixed costs being spread over more units. Some portion of these cost savings are passed back to consumers in the form of lower prices, which in turn drives even more volumes. This virtuous retail cycle is a scale game and is difficult for would-be competitors to replicate.
- An EDLP approach is more operationally efficient than high-low pricing. If we consider the lumpy promotional cadence of a high-low pricing strategy, it results in demand spikes during discount periods that put immense pressure on the retailer's supply chain (overtime labour in distribution centres and stores, expedited freight and other inefficiencies). It also makes inventory planning more difficult; missing the forecast with an inventory pre-buy could either result in stock-outs during the promotion (foregone sales) or excess inventory afterwards (higher markdown risk to clear this inventory, eroding gross margins). Lastly, high-low creates promotional complexity and higher marketing costs. FND's EDLP approach avoids these issues that stem from high-low pricing, with potential savings that can again be passed back to consumers by way of lower prices.
- Pricing certainty helps Pros quote jobs accurately, and EDLP obviates the need to wait for promotions to start a job. Rather, EDLP encourages repeat purchasing from Pros where the reliability of inventory supply matters more than promotion-driven bargains.

Given FND's category killer business model, it makes sense that the company has been rolling out new stores.

The power of a store rollout strategy

The beauty of any store concept that resonates with the consumer is that it holds the potential for copies of that store to be rolled out across the country. Walmart and countless other retailers have done this spectacularly well and have highlighted the immense wealth generation that can result from well-executed store rollout strategies.

As of Q3 2025, FND had 262 stores. The company has a longer term target of 500 stores, which was upped from the prior 400 store target a few years ago. It's clear that the company still has a lot of runway before it reaches its 500 store target (and there is likely upside to this end-state store count via a potential expansion into the Canadian market).



Source: Bristlemoon Capital; company filings

We view FND's store rollout strategy as highly value-generative, and, importantly, value-generative in a way that is both understandable and repeatable. Thought of another way, the unit economics of each incremental store can be underwritten within a relatively tight confidence interval. This means that more so than many other growth businesses, FND has good visibility around the earnings it will get back for each dollar it spends on new stores.

This creates a veritable reinvestment opportunity whereby FND can consistently deploy cash back into its business at high incremental rates of return, compounding the company's intrinsic value over time.

This has led to FND producing very strong returns on capital historically, as can be seen below.

	FY16	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24
ROIC, post-tax	25.6%	32.9%	29.9%	26.4%	29.3%	29.4%	20.4%	13.9%	10.9%
ROIIC 1yr		54.5%	22.2%	15.8%	44.5%	29.7%	5.1%	(11.5%)	(49.3%)
ROIIC 2yr			35.0%	18.7%	28.3%	34.3%	12.7%	(1.6%)	(19.1%)
ROIIC 3yr				27.0%	26.3%	29.0%	16.5%	5.0%	(6.0%)
ROIIC 4yr					31.2%	27.7%	16.4%	8.3%	0.9%
ROIIC 5yr						30.7%	17.0%	9.1%	4.4%
ROIIC 6yr							19.4%	10.1%	5.4%
ROIIC 7yr								12.2%	6.7%
ROIIC 8yr									8.8%

Source: Bristlemoon Capital; company filings

However, more recently, FND's return on capital has shown a marked deterioration. This has sparked a debate amongst investors: is this due to a permanent impairment of FND's new store unit economics, or merely the result of a temporary cyclical trough? This uncertainty has led to the company slowing the pace of store rollouts and has contributed to the stock selling off. In fact, FND as a stock has produced negative cumulative returns over the last five years.

It is worth discussing why the stock has performed so poorly, and why we believe there is now compelling value at these levels.

Why has FND sold off?

We have followed Floor & Decor closely since 2017. It is a business we have wanted to own but we have been patiently waiting for the right price. Following the Q3 2025 earnings result, the stock dropped to around $60 per share, and we began building a position in the Fund.

Source: Bristlemoon Capital; Bloomberg

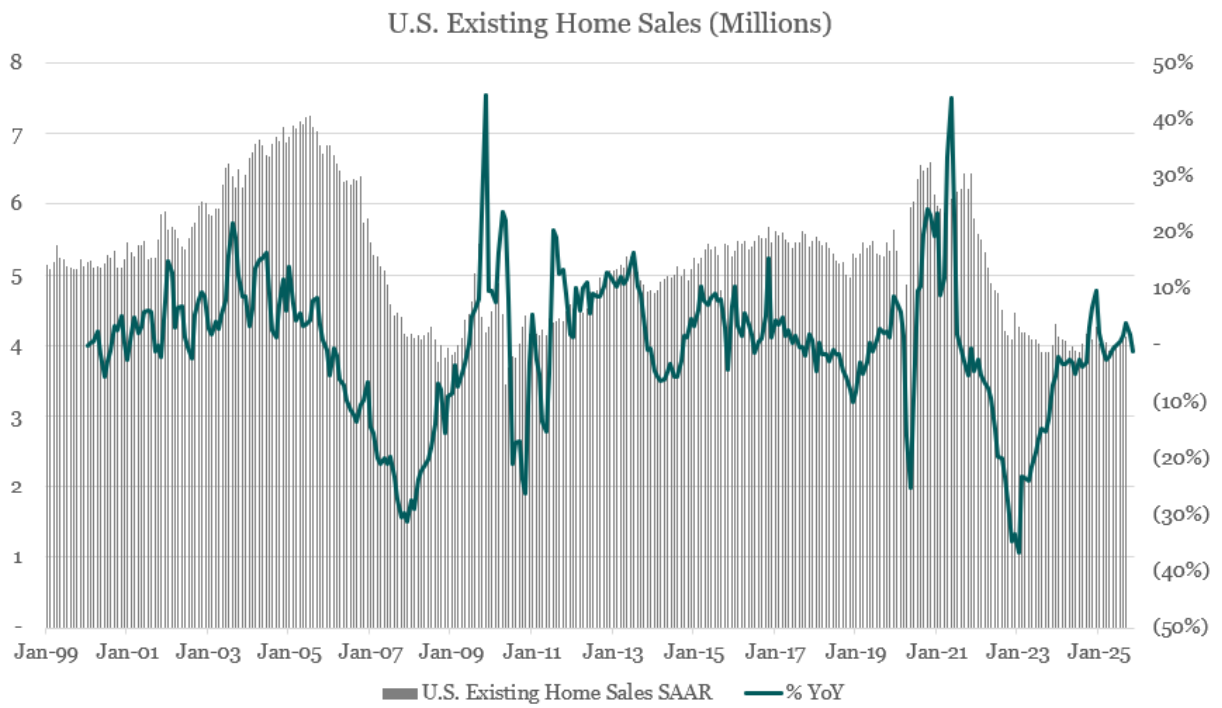
So why has the stock failed to generate positive value over the last five years, despite Floor & Decor being such a great business?

The answer involves an exploration of the very difficult macroeconomic conditions FND has had to contend with over the last few years.

It is worth noting that the bulk of flooring remodel activity is driven by existing home sales. Basically, when a home is sold, there's a good chance that either the seller replaces the flooring to fetch a better sale price for the home, or the home buyer replaces the flooring before moving in. In other words, the sale of a home is a catalyst for a flooring remodel, and thus a potential flooring purchase from Floor & Decor.

Existing home sales are cyclical and heavily influenced by interest rates and employment. COVID was a period that strongly amplified that cyclicality in existing home sales and flooring remodel activity. This is important to unpack.

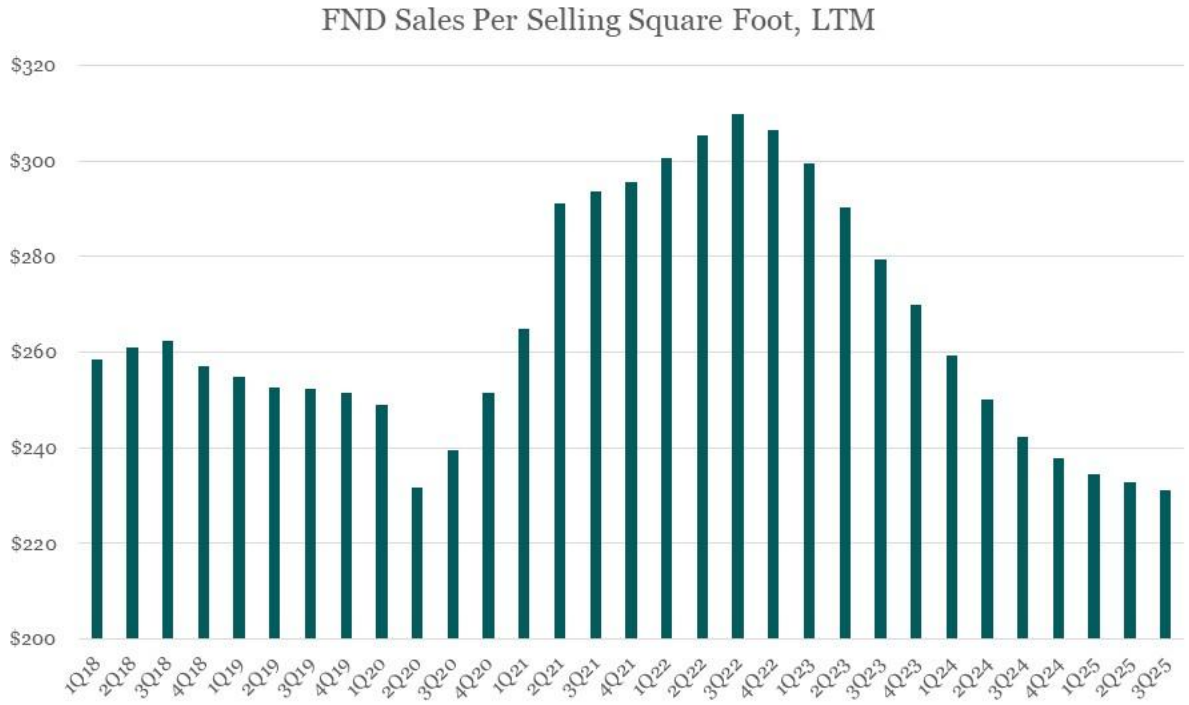
As we can see in the chart below, existing home sales spiked during the pandemic period. U.S. existing home sales increased from 5.4 million at the beginning of 2020 to more than 6.5 million at the end of 2022. Notably, existing home sales in the U.S. had not reached these levels since late 2006 – a period of frenzied housing activity that helped catalyse the 2008 financial crisis.



Source: Bristlemoon Capital; Bloomberg

Combine this with the COVID stay-at-home mandates, stimulus cheques, and plummeting interest rates, and it's clear that there were *very* supportive conditions for flooring remodel demand during 2021 and 2022.

As a consequence, there was a surge in demand for flooring. FND's business swiftly recovered after the initial COVID-induced store shutdowns, with sales per selling square foot rocketing to all-time-high levels. For 2021-2022, sales per square foot averaged $296, nearly 16% above the $256 average achieved over 2018-2019. Notably, this includes the diminutive effect on this metric from FND expanding its store base by 20% per annum over 2021-2022, given that these new stores are immature and take time to ramp up their sales productivity (we discuss this below). The implication is that the step up in the sales productivity of mature stores was even more pronounced.

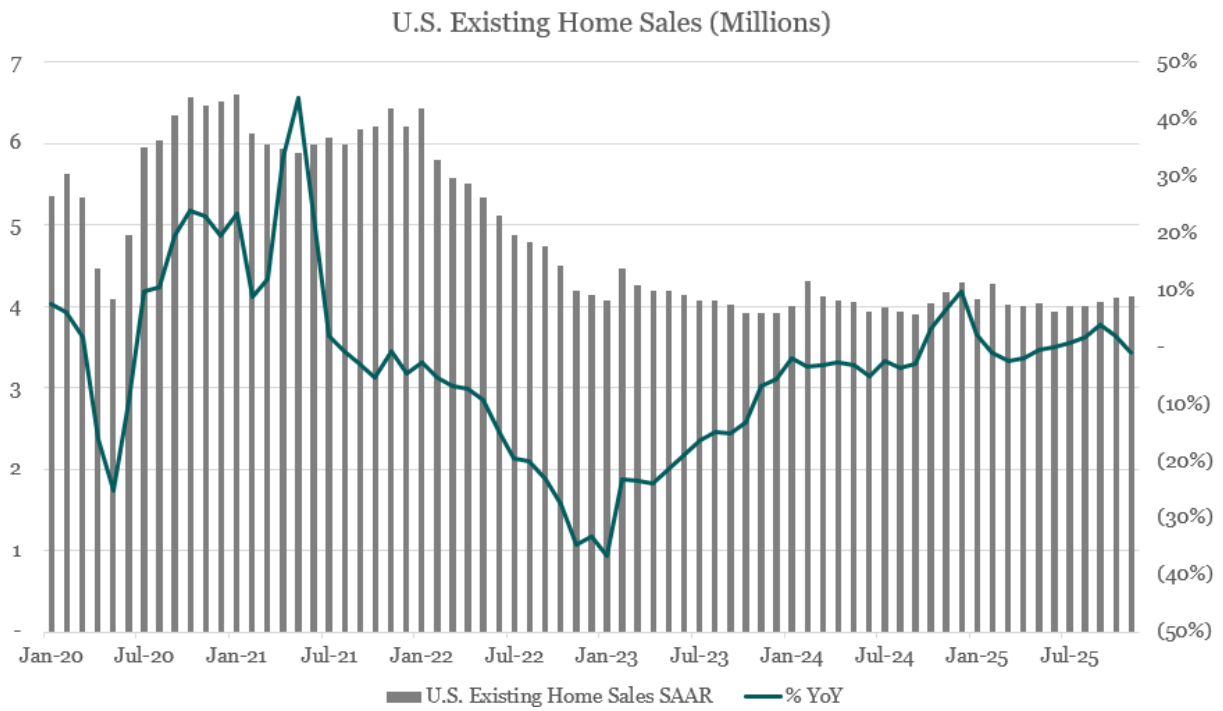


Source: Bristlemoon Capital; company filings

This heady demand of the COVID era was an aberration, and we have since seen a normalization. FND's LTM sales per selling square foot in Q3 of 2025 was almost 10% below the 2018 to 2019 pre-COVID average.

What has happened is that FND has gone from a period of overearning due to an abnormally strong demand environment, to a phase of underearning as demand that was pulled forward into 2021-2022 has since left the company with a growth air pocket. While FND is an excellent business with structural tailwinds (an aging housing stock, a shift from carpet to hard surface flooring, and a superior retailing model as we have outlined), the company has been unable to escape the demand destruction from these macroeconomic factors.

If we zoom in on the U.S. existing home sales graph, we can see that for the past three years, existing home sales have been below 4.5 million. They have simply flatlined.



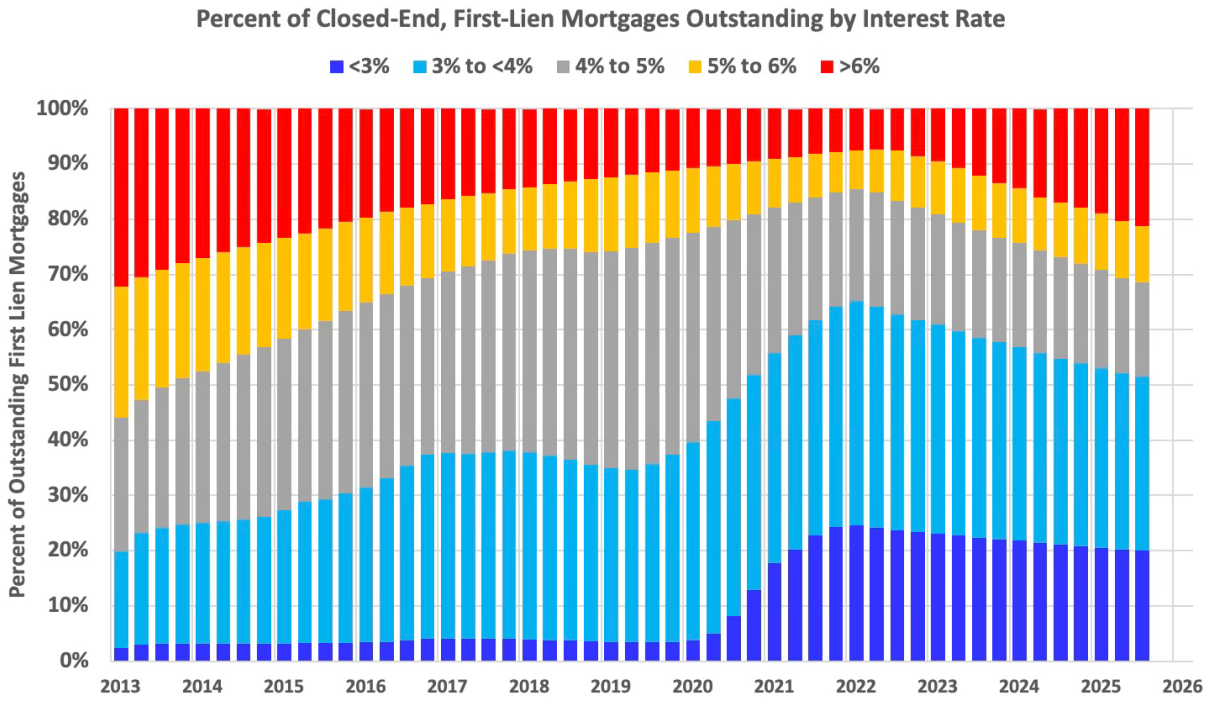
Source: Bristlemoon Capital; Bloomberg

It isn't since the 2008 financial crisis where we've seen such an extended period of collapsed existing home sales, during which there were four and a half years of sub-4.5 million existing home sales.

Will we see lower mortgage rates?

What is needed to reinvigorate existing home sales is lower interest rates, and more specifically, a decline in the 30 year fixed mortgage rate which has been stubbornly hovering around 6.3%.

Lower mortgage rates are needed to thaw property transactions because many American homeowners have locked in 30 year fixed mortgages at significantly lower rates than current mortgage rates, making them reluctant to move and abandon their low-rate mortgage. Consider that nearly 30 million U.S. households, or 54% of primary mortgage holders, have mortgage rates at or below 4%.



Source: FHFA via Calculated Risk Blog

However, this lock-in effect is already beginning to fade. While the cohort of homeowners with sub-4% mortgages peaked at 65.1% of mortgages outstanding in early 2022, that figure has already retreated to 51.5% (with sub-5% loans dropping from 85.6% to 68.6%).

While the rate differential between written mortgages and current yields has created a massive disincentive for homeowners to move (and thus paralysing inventory and housing transactions), time is naturally dissolving this friction. There are life events called the "5 Ds" that can compel a home sale even in an elevated interest rate environment:

- **D**iapers (growing family needs more space)
- **D**iamonds (marriage/household formation)
- **D**ivorce (household dissolution)
- **D**eath (estate sales)
- **D**isplacement (job relocation)

While life events are gradually eroding the mortgage lock-in effect, this is a slow process. Rather, the most immediate catalyst for restoring housing transaction velocity is the need for a reduction in the 30-year fixed mortgage rate.

We would point out that the Federal Reserve has been cutting interest rates, which could filter through to a reduction in U.S. mortgage rates. This already appears to be underway, with a circa 100 basis point reduction in 30-year fixed mortgage rates over the last year.

Source: Bristlemoon Capital; Bloomberg; Bankrate.com

However, it is important to acknowledge that a lower Fed Funds Rate does not automatically translate into lower 30-year mortgage rates. The Federal Reserve can push down the short end of the curve (i.e., yields on 2-year Treasurys) but the 30-year mortgage rate is priced off the long end of the curve (10-year Treasurys, to be specific). Mortgage rates are thus influenced by long-term inflation expectations, Treasury supply (i.e., government debt issuance), and mortgage-specific risk premia demanded by MBS investors.

In a rudimentary way, we can conceptualise how a 30-year fixed mortgage is priced with the following formula:

Mortgage Rate = 10-Year Treasury Yield + Mortgage Spread

When interest rate volatility is high, the spread (i.e., the extra yield) that investors demand to buy mortgage-backed securities (MBS) instead of safe Treasurys increases.

This is primarily driven by negative convexity: because every mortgage contains an embedded call option that creates prepayment risk (i.e., the borrower's right to refinance when interest rates decline), an MBS investor's upside is capped while their downside remains fully exposed. In volatile markets, the cost to hedge this short option position escalates, forcing investors to demand a wider spread to compensate them for taking on this asymmetric risk.

As we can observe below, the MOVE Index – a measure of expected volatility in the U.S. Treasury market (specifically, how expensive it is to buy options on Treasurys) – has been elevated in recent years. It is now beginning to subside.

Source: Bristlemoon Capital; Bloomberg

We believe the normalisation of rate volatility will reduce the hedging costs associated with MBS negative convexity, driving a mean-reversion in spreads that lowers mortgage rates and unlocks inventory liquidity, regardless of the long end's absolute levels. It is worth noting that from the start of 2016 to the beginning of 2020, the mortgage spread (i.e., the 30-year fixed mortgage rate less the 10-year Treasury yield) averaged 168 basis points. However, as we can see below, at the end of 2021 the mortgage spread blew out to north of 300 basis points.

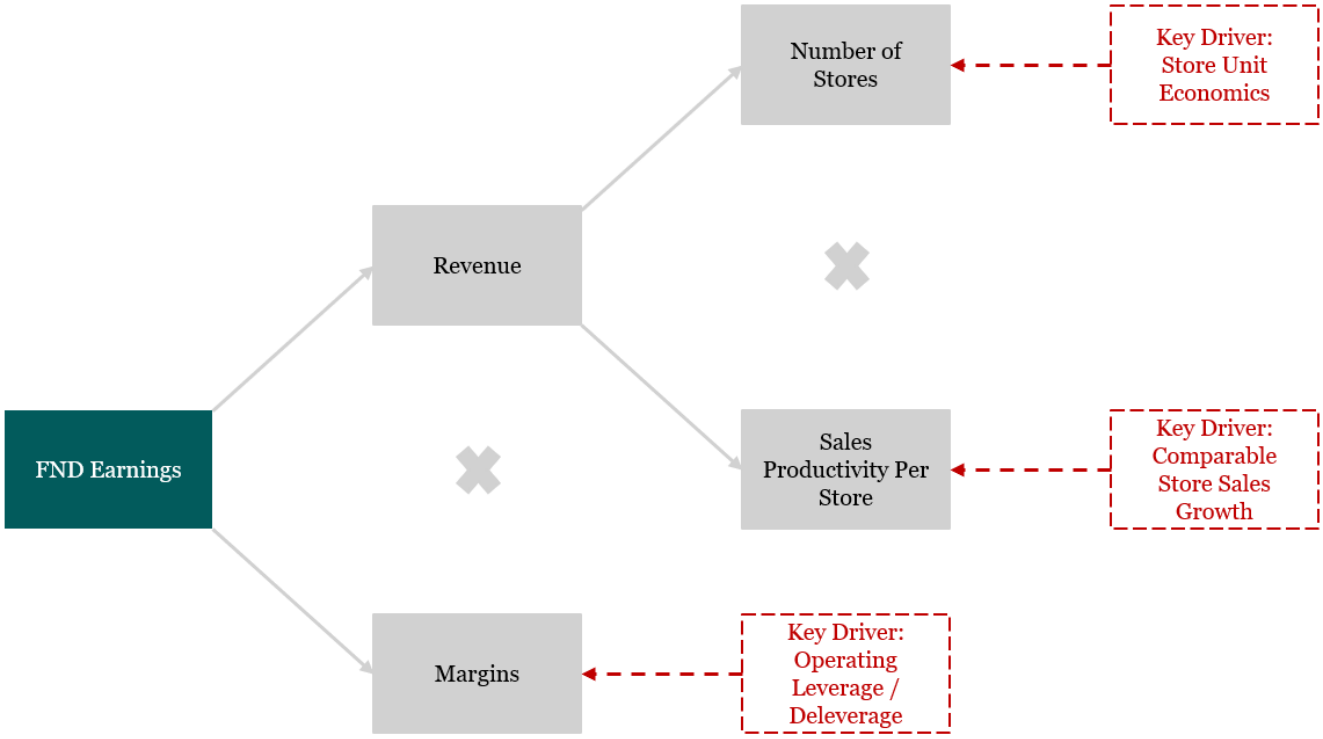
Source: Bristlemoon Capital; Bloomberg

We are now seeing a mean-reversion in this spread and it's possible that there is another 50 basis points of spread normalisation still to come. This is why even without a meaningful reduction in 10-year Treasury yields, a compression in this spread to more normalised levels could meaningfully reduce mortgage rates. We believe that if mortgage rates can sustainability enter a range of 5.5% to 6.0% or lower, then this could precipitate a rebound in existing home transactions. We foresee a scenario where existing home sales recover into the 4.5 million to 5.0 million range. This would disproportionately benefit a housing-adjacent retailer such as Floor & Decor, where volumes are strongly linked to housing transaction activity.

While it is difficult to put too fine of a point on the timing of any rebound, we can say confidently that existing home sales will at some point recover; they won't stay at these depressed levels forever (people need to move homes for the "5 Ds"!). We also believe that FND will be well-positioned to capitalise on this demand when the market turns, particularly given that many of the company's competitors have gone out of business (consider that Lumber Liquidators filed for bankruptcy, The Tile Shop voluntarily delisted from the Nasdaq to save costs, and many independent flooring retailers have gone bust). We view FND as a high-torque way to get exposure to a housing rebound scenario, as housing turnover remains the primary leading indicator for large-ticket renovation spend.

So, what might the future hold for FND if there's a rebound in existing home sales?

To appreciate what a rebound in U.S. housing sales could mean for FND's financial performance, it is worth us stepping through the drivers of FND's earnings, which can be decomposed as follows:



Source: Bristlemoon Capital

Re-igniting comparable store sales growth

To understand the potential for a reacceleration in FND's comparable store sales growth, it's necessary to look beyond just how an improvement in housing turnover would drive higher store traffic and transactions. This is because 41% of FND's store base is three years old or less. These young stores have not fully ramped up their sales productivity; they are currently sitting on the steep part of the S-curve. The corollary of this is that these stores will be comping at relatively high rates.

This is especially the case for new stores once they bleed into the comparable store base in their 13th full month of operation. For example, if a store that might only be 70% productive in year one ramps up to 85% productivity in year two (i.e., the year when the store enters the comparable store calculation), then the store will be comping at 21.4% year-over-year, meaningfully boosting overall comparable store sales growth for FND.

To capture both a rebound in demand *and* the potential for more recent store vintages to grow comparable store sales at very high rates, we have built a comparable store growth waterfall analysis.

Comparable store growth waterfall							
Store footprint by age	2022	2023	2024	2025	2026	2027	2028
New (non-comparable) stores	31	30	30	20	20	35	35
1 year old	27	31	30	30	20	20	35
2 year old	13	27	31	30	30	20	20
3 year old	20	13	27	31	30	30	20
> 3 years old	100	120	133	160	191	221	251
Total	191	221	251	271	291	326	361
Check	-	-	-	-	-	-	-
Store footprint % by age							
New (non-comparable) stores	16%	14%	12%	7%	7%	11%	10%
1 year old	14%	14%	12%	11%	7%	6%	10%
2 year old	7%	12%	12%	11%	10%	6%	6%
3 year old	10%	6%	11%	11%	10%	9%	6%
> 3 years old	52%	54%	53%	59%	66%	68%	70%
Total	100%	100%	100%	100%	100%	100%	100%
Store footprint % by age (comparable stores only)							
1 year old	17%	16%	14%	12%	7%	7%	11%
2 year old	8%	14%	14%	12%	11%	7%	6%
3 year old	13%	7%	12%	12%	11%	10%	6%
> 3 years old	63%	63%	60%	64%	70%	76%	77%
Total	100%	100%	100%	100%	100%	100%	100%
Estimated comp growth by store cohort							
1 year old	25.0%	7.0%	7.0%	10.0%	25.0%	25.0%	25.0%
2 year old	12.0%	(8.0%)	(8.0%)	(3.0%)	15.0%	20.0%	20.0%
3 year old	10.0%	(9.0%)	(9.0%)	(3.0%)	4.0%	8.0%	8.0%
> 3 years old	5.3%	(12.0%)	(11.0%)	(3.0%)	3.5%	5.0%	5.0%
Estimated comp growth contribution by store cohort							
1 year old	4.2%	1.1%	1.0%	1.2%	1.8%	1.7%	2.7%
2 year old	1.0%	(1.1%)	(1.1%)	(0.4%)	1.7%	1.4%	1.2%
3 year old	1.3%	(0.6%)	(1.1%)	(0.4%)	0.4%	0.8%	0.5%
> 3 years old	2.8%	(6.5%)	(5.8%)	(1.9%)	2.5%	3.8%	3.8%
Total	9.2%	(7.1%)	(7.1%)	(1.4%)	6.4%	7.7%	8.3%
FND reported comp sales growth	9.2%	(7.1%)	(7.1%)				
Consensus comp sales growth %				(1.4%)	1.7%	4.7%	5.4%

Source: Bristlemoon Capital; company filings

If more mature stores (i.e., those that have been open for more than three years) were to comp at 3.5% in FY26 and 5% in FY27 and FY28, and if newer stores were to see more throughput and more closely follow historical store maturity patterns, then we see a scenario where FND's comparable store sales growth could aggressively snap back. In this event, mid- to high-single-digit comparable store sales growth would be achievable in our view, suggesting meaningful upside compared to low- to mid-single-digit comp growth captured in sellside consensus numbers. We should note that this is not a scenario we are saying *will* happen, but rather we view this scenario as plausible in the event that the housing market improves.

We would also note that the sellside (as well as buyside) are often poor at forecasting step function changes in growth, and currently appear reluctant to model a snapback in growth given that many analysts have been wrong with their estimates in recent years. This conservatism is understandable given the housing market malaise, but with street estimates anchored to recent trends, we believe the market is failing to reflect the potential for the cycle to turn.

A reacceleration in the pace of store rollouts

FND management has more recently slowed the pace of store expansion to 20 units per year, compared to the circa 30 units per annum that were opened over FY22-FY24. However, if housing turnover recovers and comps accelerate, we expect management to increase its store rollout pace.

Given the 8-12 month lead time for site selection and build-out (this range depends on whether the new store is a conversion of an existing structure or a greenfield buildout), a sustained recovery in existing home sales and transactions in 2026 sets the stage for 2027 unit openings to ramp back towards a 35 unit annual pace.

We believe that the reacceleration of the store rollout would catalyse a shift in investor perceptions of the FND narrative from cyclical turnaround back to secular growth story. This would likely bring about a re-rating in the stock.

Operating leverage working in FND's favour

Perhaps the most potent driver of a FND earnings rebound is the company's operating leverage. Unfortunately for FND, the last few years have instead seen operating deleverage. Given the tough macroenvironment, FND's comparable store sales declined by around -7% in both FY23 and FY24, with FY25 likely to be down by a low-single-digit percentage rate. When we consider the company's fixed cost base – comprised of leases, core store staffing, and corporate overhead – this has led to a disproportionately large reduction in FND's earnings (management has previously stated that 55% of FND's store costs are fixed and 45% are variable).

For example, FY25E adjusted operating income is likely to come in -37% lower than the operating income achieved in FY22, and adjusted operating margins have gone from 10-11% in FY21-FY22 to below 6% in FY25E. This helps frame the margin destruction that has already occurred from the fixed cost deleverage. It is worth turning our minds to what we could see if this dynamic reverses and FND's stores experience a recovery in throughput.

Management has in the past said that FND's incremental operating margins on recovered volumes are around 35%. What this means is that if comparable store sales growth were to hit 6.5% in FY26, this would flow through to a 40% increase in operating profits. In other words, for every percentage point of comparable store sales growth, operating profit will increase by around 6%. In our conversations with the company we have learned that 30% of Floor & Decor's stores are on minimum labour hours, creating a scenario where margins could overshoot in the short term if FND is unable to add labour quickly enough in the event of a sharp demand recovery.

The sellside is only modelling FND's adjusted operating earnings to surpass their FY22 level in FY28. This is despite a store count in FY28 that we estimate would be almost 90% greater than the company's FY22 store base. This implies that the average FND store in FY28 is 47% less profitable than it was in FY22, effectively pricing in a structural impairment of FND's store unit economics. To us, this seems overly pessimistic.

We would also point out that over time, there's a margin tailwind from recently opened stores maturing. Recall that 41% of FND's store base is three years or younger. As more of these stores mature, their margin profile will improve, having a positive mix effect on FND's consolidated operating margins.

<u>But is Floor & Decor cheap?</u>
FND has recently seen its earnings multiple de-rate significantly, falling from 70x in late 2024 to a more reasonable 32x.

Source: Bristlemoon Capital; Bloomberg

While 32x does not look optically cheap, we would highlight that this P/E is being calculated from significantly depressed earnings. We believe that with any sustained improvement in the U.S. housing market, FND could generate $4.30 of earnings per share in FY28. If the company holds its current 32x earnings multiple, then this would result in an almost $140 share price, around 2.2x the current price. But if FND's earnings multiple were to re-rate back to 40x or 50x, then this could see the stock trade at c.$170 to $215 per share over the next two years, a 2.8x to 3.5x increase from the current share price.

Floor & Decor has long occupied a spot on our wish list of high-quality businesses, yet the valuation has rarely offered a sufficient margin of safety. Today, that dynamic has finally shifted. We believe we are seizing a rare opportunity to acquire a business we understand deeply at a price that skews the risk/reward heavily in our favour.

As always, we remain grateful for your trust and patience. It is a privilege to manage your capital alongside our own, and we do not take the responsibility lightly. We are invested in some of the highest-quality franchises in public markets today, and we look forward to reporting on their progress in the coming quarters.

Kind regards,

Bristlemoon Capital

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